

ZM 3.0

DR / IDR FRAMEWORK

The Definitive Precision Trading Manual

Prepared for Zain

MARKET STRUCTURE

LIQUIDITY

FAIR VALUE GAPS

SESSION TIMING

DR/IDR MODEL

PSYCHOLOGY

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How to Use This Book

This manual is intentionally written in sequence. Do not skip ahead. The edge in this model does not come from a single signal. It comes from stacking context in the correct order: market structure first, location second, liquidity third, imbalance fourth, time fifth, and execution last.

A trader who understands only fair value gaps but ignores structure will force trades. A trader who understands structure but ignores time will often enter too early. A trader who understands both but ignores liquidity will chase price after the move is already underway. This book is built to prevent that.

I Foundation How price should be interpreted before any execution decision is made	II Price Tools Supply and demand, premium and discount, liquidity, FVGs, displacement	III Sessions Asian range, kill zones, and why timing changes setup probability
IV DR/IDR Model The full system step by step — ODR, RDR, breakout, pullback, targets, invalidation	V Execution Workflow, templates, confluence hierarchy, risk management, journal	VI Psychology The mental operating system behind consistent, disciplined execution

■ Core Assumptions Used Throughout This Manual

- All session timings are anchored to **New York local time**. Daylight saving changes can distort session markers if the chart is not normalized correctly.
- The London Defined Range is from **03:00 to 04:00 NY time**. The New York Defined Range is from **09:30 to 10:30 NY time** — anchored to the cash equity open, not the first hour of the forex session.
- The NY range is defined around the cash equity open because that is when participation and volatility often become more meaningful for the model.
- The framework is built for liquid instruments and intraday execution — best suited to markets where session behavior, liquidity sweeps, and imbalances are visible and meaningful.
- This is a **discretionary model**. The goal is precision of process, clarity of logic, and consistency of application. It is educational material, not financial advice.

IMPORTANT DISCLAIMER

This manual is for educational purposes only. It is not financial advice, not a guarantee of profitability, and not a substitute for your own risk management. Trading involves significant risk of loss.



PART ONE

The Foundation of the Model

Before you touch a chart, you must understand what the market is actually doing and why. This section builds the mental model that everything else depends on.

What the Strategy Is Actually Trying to Do

At its core, this strategy is not trying to guess the future. It is trying to identify when price has moved from balance into imbalance, when that move is likely to be defended, and where a retracement offers low-risk continuation or reversal potential.

That means the trader is not entering because a candle looks strong. The trader is entering because price has created a specific story: a range formed, liquidity accumulated around it, price displaced away from it, and then retraced into a location where the move can be refined.

The model therefore rests on five pillars: structure, location, liquidity, imbalance, and time. Structure tells you what the market has already done. Location tells you whether price is expensive or cheap relative to the current dealing range. Liquidity tells you where other traders are trapped or positioned. Imbalance tells you where price moved too efficiently and may revisit. Time tells you when the market is most likely to deliver the move.

01	02	03	04	05
Structure	Location	Liquidity	Imbalance	Time
What has the market already done?	Is price expensive or cheap relative to the dealing range?	Where are other traders trapped or positioned?	Where did price move too efficiently and may revisit?	When is the market most likely to deliver the move?

“ The edge does not come from a single signal. It comes from stacking context in the correct order — every time, without exception.

Market Structure

Market structure is the sequence of swing highs and swing lows that shows whether the market is advancing, declining, or consolidating. It is the first filter because every trade must sit inside a broader narrative. A bullish setup appearing inside a strong bearish structure is lower quality unless the trade is specifically a reversal model.

For practical execution, think of market structure on three layers. The higher timeframe sets directional bias. The execution timeframe reveals where price is interacting with current session levels. The trigger timeframe confirms whether the precise entry is being defended.

H T F	Higher Timeframe	Sets directional bias — the story of the market across recent sessions
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E
T
F**Execution Timeframe**

Reveals where price is interacting with current session levels

T
R
G**Trigger Timeframe**

Confirms whether the precise entry level is being defended right now

Bullish structure is characterised by a tendency to protect higher lows and expand through prior highs. Bearish structure is characterised by a tendency to protect lower highs and expand through prior lows. Consolidation is characterised by repeated failure to expand cleanly and by constant reversion back into the middle of a range.

Structure should not be judged by a single candle break. A clean structural break is more meaningful when it occurs with displacement, leaves an inefficiency behind, and takes liquidity that had been resting at an obvious swing point. In other words, structure alone is descriptive; displacement gives it intent.

KEY PRINCIPLE

Structure alone is descriptive — it tells you what has happened. Displacement gives it intent — it tells you what is likely to happen next. One without the other is incomplete information.

CHAPTER 03

Internal vs External Structure

Not all highs and lows carry equal importance. Some are internal pivots inside a broader move. Others are external swing points that actually define the broader range.

External highs and lows matter more because that is where obvious stops tend to accumulate. These are the levels every participant on every timeframe can see — they are where retail traders place stops, and where institutional participants know liquidity is resting. Internal highs and lows matter because they can reveal short-term order flow and help refine entries within a larger directional move.

External**External Structure**

The swing highs and lows that define the broader range. Largest stop clusters. Visible to all timeframes.

Internal**Internal Structure**

Smaller pivots inside a larger swing. Reveal short-term order flow. Used to time entries and read intent within a move.

A common error is to treat every broken candle high or low as a market structure shift. A better approach is to ask three questions. First: was the level obvious enough to attract liquidity? Second: did price break it with urgency? Third: did the break create or respect a meaningful imbalance or supply-demand zone? If the answer is no to any of these, the break may be noise rather than

useful information.

- **Was the level obvious enough to attract liquidity?** Institutional and retail participants alike had stops resting there.
- **Did price break it with urgency?** Not a slow drift above or below, but a decisive, large-range push.
- **Did the break create or respect a meaningful imbalance?** A fair value gap, a supply/demand origin, or a clear inefficiency the market may revisit.

CHAPTER 04

Market Structure Shift vs Continuation

A market structure shift is the moment when one side of the market stops controlling price delivery and the opposing side takes initiative. Understanding whether you are trading a shift or a continuation changes everything — where you look for entries, where the stop goes, and what the target is.

For a bullish shift, price usually sweeps sell-side liquidity, rejects lower prices, breaks an internal lower high with displacement, and begins to hold higher lows. For a bearish shift, price usually sweeps buy-side liquidity, rejects higher prices, breaks an internal higher low with displacement, and begins to hold lower highs.



Bullish MSS — Full Sequence

1. Price sweeps sell-side liquidity below an obvious equal low or swing low
2. Strong rejection — price closes back above the swept level with force
3. Displacement breaks an internal lower high, leaving a fair value gap
4. Price begins to hold higher lows — the shift is confirmed
5. DR/IDR pullback entries now fit into the bullish continuation that follows

Bearish MSS — Full Sequence

1. Price sweeps buy-side liquidity above an obvious equal high or swing high
2. Strong rejection — price closes back below the swept level with force
3. Displacement breaks an internal higher low, leaving a fair value gap
4. Price begins to hold lower highs — the shift is confirmed
5. DR/IDR pullback entries now fit into the bearish continuation that follows

Continuation is different. In continuation, the broader directional narrative is already established. The trader is not asking whether buyers or sellers have seized control for the first time. The trader is asking where that existing trend is likely to rebalance before expanding again. DR/IDR pullback entries often belong to this continuation category.



PART TWO

Price Delivery Tools

The instruments of precision. Each tool is a lens for reading what price is communicating. Used together and in order, they reveal intent before the entry ever appears.

Supply and Demand

Supply and demand are best understood as areas where price previously left with clear imbalance, revealing an aggressive shift in order flow. A demand zone is the origin or refined area from which price rallied with force. A supply zone is the origin or refined area from which price declined with force.

These zones are not magical rectangles. Their value comes from the reaction that followed them. A zone that caused only a weak bounce is less meaningful than a zone that launched displacement and broke structure.



The highest-quality zones tend to share several characteristics. They sit in alignment with higher timeframe bias. They follow or create a liquidity event. They launch strong displacement. They leave a fair value gap or other inefficiency. And they occur in a sensible price location — demand in discount for buys and supply in premium for sells.

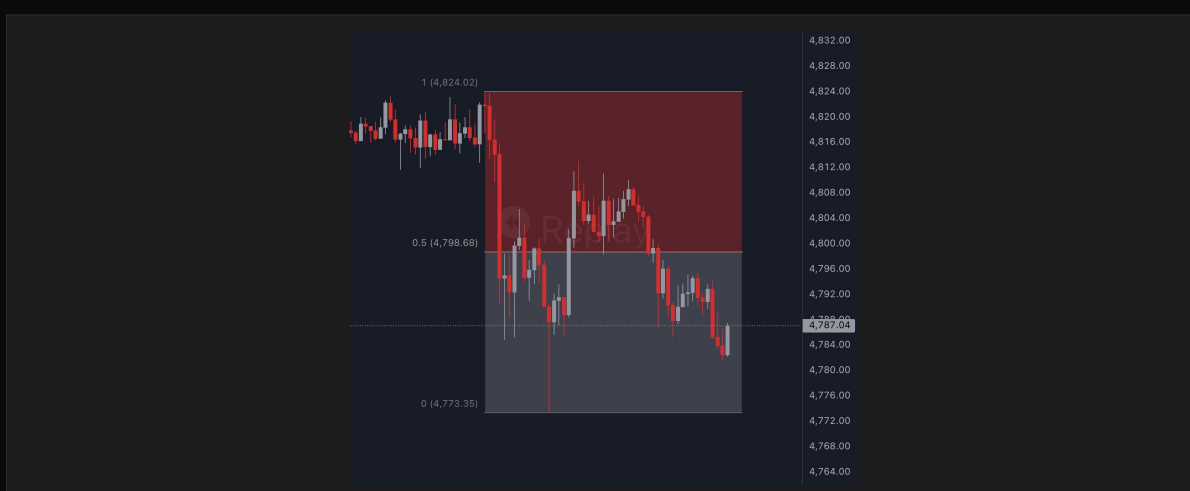
①	②	③	④	⑤
HTF Aligned	Liquidity Event	Displacement	FVG Left	Sensible Location
Zone sits in the direction of the higher timeframe narrative	Zone followed or created a sweep of a meaningful pool	Zone launched a strong, urgent departure — not a gradual move	Zone departure left a fair value gap or visible imbalance	Demand in discount for buys — supply in premium for sells

When drawing zones, avoid making them too broad. The wider the zone, the less precise the execution. But avoid over-refining as well. If you refine so tightly that normal market noise can stop you before the setup is invalidated, your precision becomes fragility. The best practice is to start with the source of displacement and then refine only when lower timeframe confirmation supports that refinement.

Premium and Discount Price Ranges

Premium and discount are ways of measuring relative value inside a dealing range. Once a meaningful swing low and swing high define the current dealing range, the midpoint divides the range into two halves. The upper half is premium. The lower half is discount.

In simple terms, if the market is bullish, you ideally want to buy lower within the range rather than chase premium prices. If the market is bearish, you ideally want to sell higher within the range rather than sell discount prices.



Range high (1.0) at 4,824.02 — 50% EQ at 4,798.68 — Range low (0.0) at 4,773.35. Red shading = premium zone. Grey shading = discount zone. Price currently in discount.

This idea matters because many losing trades come from correct direction but poor location. A trader may correctly identify bullish order flow and still lose because the entry is taken too high into premium, directly beneath resting buy-side liquidity that can be swept before the market reprices lower. Likewise, a trader may correctly identify bearish conditions and still lose by shorting at discount into prior sell-side liquidity.

Premium and discount do not guarantee reversal. They help judge whether price is attractively located. Location increases quality only when it is combined with structure and time. A bearish signal in premium during an active kill zone after liquidity has been swept is far more valuable than simply noticing that price is in the upper half of a range.

THE MOST COMMON LOCATION ERROR

Many losing trades are directionally correct but locationally wrong. The trader buys in premium — directly beneath resting buy-side liquidity. That liquidity gets swept first, stops out the long, and then the real bullish move begins without them.

Liquidity

Liquidity is one of the central engines of this strategy. It refers to the pools of resting orders that tend to accumulate above obvious highs and below obvious lows. It also includes equal highs, equal lows, trendline liquidity, session highs and lows, range extremes, and other highly visible points where traders cluster stops or breakout entries.

Why does liquidity matter? Because price often seeks those pools before delivering the real move. A sweep can serve two purposes. It can trigger stops from existing positions, and it can invite breakout traders into the wrong direction. Once that liquidity is taken, price can reprice away with displacement. That is why a sweep followed by rejection and imbalance is so much more meaningful than a move that simply drifts away from a level without taking anything first.



BSL clearly marked. SWEEP label at the high where stops triggered. Massive displacement candle down. Supply zone (dark red box) at origin. 300+ point bearish continuation followed.

BSL	SSL	IRL
Buy-Side Liquidity	Sell-Side Liquidity	Intrange Liquidity
Resting stops of short sellers — above swing highs, equal highs, session highs, range highs	Resting stops of long traders — below swing lows, equal lows, session lows, range lows	Session highs and lows, prior DR levels, swing points within the current dealing range

There are two broad categories to keep in mind. Buy-side liquidity sits above highs. Sell-side liquidity sits below lows. The trader should always know which side is nearest, which side has already been taken, and which side is likely to become the next draw on price.

Liquidity should not be viewed in isolation. The key question is not merely, "Where is liquidity?" The key question is, "Which liquidity is likely to be taken first, and what is the market likely to do after taking it?" That second question is where structure, premium-discount, and time come together.

CHAPTER 08

Fair Value Gaps and Imbalance

A fair value gap is a three-candle imbalance where the market repriced so quickly that the first and third candles do not fully overlap. This matters because fast repricing often indicates urgency. One side overwhelmed the other, and price did not spend enough time trading fairly through that area. As a result, the market often revisits part of that imbalance before continuing.



C1, C2, C3 labelled with dotted lines. FVG box sits between C1's low and C3's high — the area where the candles do not overlap. C2 is the displacement candle. Price revisits this zone before continuing in the direction of displacement.

Not every gap is worth trading. The best fair value gaps are born from displacement, aligned with higher timeframe direction, formed after a liquidity event, and situated in sensible price territory. A weak fair value gap inside random consolidation is low quality. A fair value gap that forms immediately after sweeping session liquidity and breaking structure is much more meaningful.

Think of a fair value gap less as a stand-alone signal and more as an execution mechanism. It is often the place where the market rebalances after revealing its intention. If that intention is clear, the gap can provide precision. If that intention is unclear, the gap can become a trap.

FVG AS EXECUTION MECHANISM, NOT SIGNAL

The FVG tells you where to enter. It does not tell you why to enter. Structure, liquidity, and displacement establish the why first. The FVG then provides the precise entry location within an already-established directional narrative.

CHAPTER 09

Displacement

Displacement is the proof of intent. It is the strong, forceful move away from a level or through a structure point, often leaving an imbalance behind. The significance of displacement is not simply candle size. The significance is that price showed urgency.

Urgency suggests that one side was willing to pay away from fair value in order to get positioned or exit aggressively. A large candle that moves slowly through a level over many minutes is not the same as a candle that cuts through the same level in two minutes. The second has urgency. The first may be noise.

This matters in the DR/IDR model because the trader does not want to buy every touch of a range low or sell every touch of a range high. The trader wants evidence that the market has already chosen a direction. Displacement provides that evidence. It tells you that the market is not merely rotating inside the range; it is trying to leave it.

WHAT TRUE DISPLACEMENT LOOKS LIKE

Large-range candles closing near their extremes. A decisive break through an obvious level in 1-2 candles rather than grinding. A visible fair value gap left in its wake. The move is unmistakable. If you have to convince yourself it counts — it probably does not.



PART THREE

Time and Session Framework

The same setup at the wrong time carries a fraction of its full probability. Time is not decoration in this model — it is a core filter.

Why Time Matters

The same pattern does not carry the same meaning at every time of day. A liquidity sweep in dead conditions is not equal to a liquidity sweep during an active session. This strategy therefore treats time as a filter, not as decoration.

You are not only looking for the right pattern; you are looking for the right pattern at the right time. Session timing matters because volatility, participation, and purpose change throughout the day. Certain windows are more likely to form ranges. Others are more likely to raid those ranges. Others are more likely to deliver continuation after a retracement. A professional process therefore includes a session map before the trade idea is even considered.

CORE PRINCIPLE

Time creates permission. A valid-looking pattern outside a kill zone window may still work occasionally, but the pattern during the proper session has better logic behind it because the market actually has a reason to move then.

The Asian Range

The Asian range is the overnight range that forms before London becomes active. In practical terms, it functions as an accumulation zone — where liquidity builds quietly before the more aggressive session participants enter. The Asian high and Asian low are key reference points because London often interacts with them early in the session.

The exact time definition used for the Asian range can vary across traders and charting templates. Because of that, the only acceptable approach is consistency. Once a time definition is chosen and normalized to New York local time, it must be applied the same way every day. The purpose is not to argue over a single universal window. The purpose is to identify the overnight range whose extremes hold resting liquidity before London and New York begin their more deliberate delivery.

■ How to Use the Asian Range — Four Steps

1

Mark the High and Low

These are your overnight reference levels. Stops accumulate above and below them. Label the Asian high as potential BSL and the Asian low as potential SSL.

2

Observe Whether London Sweeps a Side

Does London attack the Asian high or low? A sweep with a strong wick followed by reversal is early evidence of directional intent.

3

Assess Alignment with HTF Bias

Does the sweep direction support or oppose the higher timeframe reading? A sweep in the direction that removes obstacles for the HTF bias is higher quality.

4

Look for Displacement and Structure Reclaim

Sweep + rejection + displacement + structure reclaim = the Asian range is now a high-conviction intraday reference. This is the ideal setup sequence.

CHAPTER 12

ICT Kill Zones

Kill zones are time windows associated with increased likelihood of volatility and purposeful price delivery. The key point is not memorising labels — it is understanding what each window is supposed to accomplish.

The London kill zone is typically the most important for a trader using the Asian range. It is often where overnight liquidity is attacked and where the day's first decisive repricing can begin. The New York kill zone is often where London's move is either continued, expanded, or reversed. London close can offer final intraday reversals or profit-taking behavior. Each window has a different character, so the trader should not expect identical setups from every one of them.



Full session map: ASIAN range (dark red box) with £ marking extremes. LKZ bar with ODR (03:00–04:00) box inside. NYKZ bar with RDR (09:30–10:30) box inside. Bearish delivery through both range levels.

LON KZ London Kill Zone (02:00–05:00) Where overnight Asian liquidity is attacked. The day's first decisive repricing often begins here. ODR forms at 03:00–04:00 within this window.	NY KZ New York Kill Zone (07:00–10:00) London's move is continued, expanded, or reversed here. RDR forms at 09:30–10:30 — the cash equity open — within this window.	LCL London Close (11:00–13:00) Final intraday reversals or profit-taking behavior. Each window has a distinct character — do not expect identical setups from all three.
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CHAPTER 13

Session Narrative

A powerful habit is to create a session narrative before the entry trigger appears. Session work is not just marking times — it is sequencing events. By the time the entry forms, most of the decision should already be made.

The narrative answers: What range formed? Which liquidity remains? Which side was swept? Did price displace? Where is the fair value gap? Is the move happening in premium or discount?

For example: if London sweeps the Asian low into discount while the higher timeframe bias is bullish, and then displaces upward through internal structure, the expectation becomes a bullish continuation into London or New York objectives. Or, if London expands aggressively without first taking the nearest sell-side liquidity, the trader should remain cautious because the move may still be incomplete.

EXAMPLE SESSION NARRATIVE — BULLISH

HTF is bullish. London sweeps the Asian low into discount. Strong rejection and displacement upward through internal structure. FVG forms. Expectation: bullish continuation during the NY kill zone. If price pulls back into the FVG at 09:30–10:30 and the lower timeframe shows defense — that is the entry.

EXAMPLE SESSION NARRATIVE — CAUTION

London expands aggressively upward but has not yet swept the Asian low. SSL below the Asian low remains untouched. The move may still be incomplete. Trading long aggressively here means buying into a setup where the opposing liquidity is still intact and could be targeted first.

IV

PART FOUR

The Complete DR / IDR Model

This is the core. Everything in Parts I through III was preparation. Now you apply it all together in a single, coherent framework.

What DR and IDR Mean in This Framework

DR means Defined Range. It is the initial range formed during a deliberately chosen session window. IDR means Implied Defined Range — in practical terms, it refers to the internal pricing of that range, especially its midpoint and the internal levels traders use for pullback and equilibrium logic.

The purpose of DR is to show where price consolidated before a likely expansion. The purpose of IDR is to help refine where that expansion can be entered after the breakout. DR gives you the balance phase. The breakout gives you the imbalance phase. IDR helps frame the retracement. That sequence — balance, imbalance, retracement — is the backbone of the strategy.

The reason this concept is powerful is simple: markets move from balance to imbalance and often retrace before continuing. The DR captures the balance phase. The breakout captures the initial imbalance. The IDR levels — the range boundary, the FVG, the midpoint — give you the precise retracement entry point within the already-established directional narrative.

DR	Breakout	IDR
Defined Range	Imbalance Phase	Retracement Phase
The balance phase — consolidation before likely expansion. High, EQ midpoint, and low are your reference levels.	Price leaves the range with displacement. This reveals intent. A FVG forms during the breakout.	Price pulls back into one of three IDR levels. This is where the entry is taken with lower timeframe confirmation.

Why London DR Uses the First Hour but New York DR Uses 09:30–10:30

London is treated differently because its opening behavior is often immediately important for forex price delivery. The first hour of London can directly attack overnight liquidity and establish the session tone. In this model, the London Defined Range is deliberately built from 03:00 to 04:00 New York time.

New York, however, is not framed from the first forex-session print. The New York DR is deliberately defined from 09:30 to 10:30 New York time because that period aligns better with the cash equity open and with the kind of participation and volatility that often create a more meaningful range for the later move. This is not an arbitrary choice — it is a model choice rooted in observed session behavior.

That means the New York DR should not be traded in a vacuum. Before the breakout occurs, the trader should already know what London accomplished. Did London already sweep the daily draw? Did it leave unfilled inefficiencies? Did it overextend into external liquidity? If New York forms a range after London has delivered a one-sided move, the breakout quality must be judged in light of that earlier expansion.

CRITICAL PRINCIPLE

A Defined Range should capture the range that matters, not merely the first possible range on the chart. A useless first hour creates a useless range. A meaningful hour creates a tradable range. Always ask: did this range form in a context where a subsequent breakout makes structural sense?

CHAPTERS 16 + 17

The London ODR and New York RDR — Full Scenarios

BULLISH DR/IDR



Grey DR box. SSL swept below range low. Displacement up through DR high. 300+ point continuation. DR levels act as IDR reference.

BEARISH DR/IDR



ODR/RDR box clearly defined. Displacement breaks below range low. IDR pullback into range boundary. Bearish continuation follows.

In this framework, the London Defined Range is built from 03:00 to 04:00 New York time. Once the range has formed, the trader marks the high, the low, and the midpoint. The questions then become: does price break above or below the range with displacement, and if so, how does it behave when it retraces?

Valid Bullish ODR Setup — Full Sequence

1. HTF context is bullish or has just completed a bullish structure shift
2. London takes sell-side liquidity or price respects discount territory
3. Price breaks above the ODR high with displacement — preferably leaving a fair value gap
4. Price pulls back into the ODR high, midpoint, or the fair value gap created during breakout
5. The level holds — lower timeframe shows bullish reaction and defense
6. Market expands toward the next buy-side liquidity or imbalance target

Valid Bearish ODR Setup — Full Sequence

1. HTF context is bearish or has just shifted bearish after taking buy-side liquidity
2. Buy-side liquidity is taken or price respects premium territory
3. Price breaks below the ODR low with displacement — leaving an imbalance behind
4. Price retraces into the ODR low, midpoint, or the fair value gap created during breakout
5. The level holds — lower timeframe shows bearish reaction and defense
6. Market expands lower toward the next sell-side liquidity target

The New York Defined Range follows the same logic but forms at 09:30–10:30. The context is different — New York often reacts to what London has already done. It may continue London's move, reject it, or rebalance before extending. This is why the NY DR cannot be traded in isolation from London's session narrative.

CHAPTER 18

Breakout Quality

The best DR breakout is not simply a candle that closes outside the range. It has qualities. It is decisive rather than hesitant. It usually takes or responds to nearby liquidity. It leaves a fair value gap or other inefficiency. It is aligned with higher timeframe structure. And it is not occurring directly into a major opposing draw on price that is likely to reverse it immediately.

Weak breakouts tend to hover outside the range without urgency, wick repeatedly back into the range, or occur in poor price location. These are often traps. The point of the model is not to trade every breakout. The point is to trade the breakout that reveals true intent and then wait for the refined pullback.

✓ Decisive	✓ Liquidity	✓ FVG Left	✓ HTF Aligned
1–2 candle break with urgency — not a slow grind above/below the range boundary	Takes or responds to a nearby BSL or SSL pool before or during the break	Leaves a visible fair value gap or imbalance behind during the breakout candle	Consistent with higher timeframe narrative — not breaking into major opposing context

WEAK BREAKOUT WARNING SIGNS

Candle closes just outside the range and immediately wicks back in. Multiple small candles grind above/below the boundary. Breakout occurs directly into a prior HTF supply or demand zone. No fair value gap is created. These setups should be avoided or approached with extreme caution.

CHAPTER 19

The Pullback Entry Logic

This is where most of the edge is extracted. The breakout itself reveals intent. The pullback reveals whether that intent is being defended. The trader does not enter on the breakout candle — the trader enters on the pullback into a defined level with lower timeframe confirmation.

After displacement, the trader looks for price to retrace into one of three primary locations: the DR high or low, the DR midpoint, or the fair value gap created during the breakout. These are not equal in every situation. A shallow retracement into the range boundary is often a sign of strength — the market barely gave the level back before continuing. A deeper retracement into the midpoint can still be valid if the narrative remains intact. A retracement deep into the full opposite side of the range often weakens the continuation case significantly.

1 s t	DR High or Low	Shallowest retrace — a shallow retracement into the range boundary is often a sign of strength and strong continuation momentum
2 n d	Fair Value Gap	Created during displacement — the most precise and commonly used entry location
3 r d	DR Midpoint / EQ	Deeper retrace — valid if narrative is fully intact, but requires extra lower timeframe confirmation

The trigger should come from lower timeframe confirmation. That might be a rejection candle, a small structure shift in the trade direction, or a clean reaction from the chosen level. What matters is that the entry is not blind. The range gives the area; the lower timeframe gives the actual trigger.

THE TWO-STEP ENTRY LOGIC

*Step 1: The DR defines the area to watch for a pullback — range boundary, FVG, or midpoint.
Step 2: The lower timeframe tells you when that area is being actively defended. The entry is only taken when both conditions are met. Never enter blind into a zone without LTF confirmation.*

CHAPTER 20

Targets

Targets should be chosen from the chart, not from emotion. Common targets in this model include opposing liquidity, prior session highs or lows, external swing points, and unfilled imbalances.

The first target should make logical sense as the nearest place price is likely to be drawn. A second target can be held if the broader draw remains open and the structure supports

continuation. The advantage of targeting liquidity rather than arbitrary pip counts is that it aligns exits with market purpose.

If the market is moving to take a known pool, exiting before it without reason can reduce expectancy. On the other hand, greedily holding beyond the most obvious objective without evidence can give back a well-structured trade. Exits should therefore be rule-based just like entries.

- **Target 1 (T1):** The nearest credible draw — the closest visible BSL (for longs) or SSL (for shorts) that price has a logical reason to reach. This is the primary exit.
- **Target 2 (T2):** The next major external draw — only pursued when structure clearly supports continuation and T1 has already been taken or is being approached.
- **Rule-Based Exits:** Just as entries follow the model, exits must also follow rules. If the model says the draw is at a specific level — exit at that level. Do not adjust based on hope or greed.

CHAPTER 21

Invalidations

A strategy becomes professional when it knows not just what confirms a trade, but what cancels it. Every trade must have a defined invalidation before entry — not after things start going wrong.

A long setup is weakened or invalidated when the breakout lacks displacement, when price cannot hold the pullback zone, when structure fails to shift or continue on the lower timeframe, or when the market re-enters and accepts back inside the range without reclaiming the breakout level. A short setup is invalidated by the opposite behavior.

“ If the market has re-entered the range, accepted the opposite side, and no longer shows urgency in your favor — the trade is no longer the trade you planned.

- **Breakout invalidation:** The breakout lacked displacement — the candle was weak, small, or immediately reversed back inside the range.
- **Pullback invalidation:** Price cannot hold the pullback zone — it pushes through the FVG, the range boundary, or the midpoint without any lower timeframe defense.
- **Structure invalidation:** The lower timeframe fails to produce the expected structure shift or continuation signal after price reaches the pullback zone.
- **Re-acceptance invalidation:** The market re-enters the DR and accepts price on the opposite side — trading, ranging, and distributing back through the range in the opposite direction of the breakout.

HOLDING AFTER THE NARRATIVE BREAKS

One of the biggest mistakes is holding a trade after the original narrative has clearly failed. If the market has accepted back inside the range, the trade is over. Holding it hoping for recovery is no longer trading the model — it is trading hope.



PART FIVE

Full Execution Framework

The complete professional playbook. Workflow, templates, confluence hierarchy, risk management, common mistakes, and journaling standard.

Top-Down Analysis Workflow

This workflow runs every session, every day, without shortcuts. Skipping a step removes a filter from the model. Every step uses the context established by the one before it.

1

HTF Directional Context

Determine whether the market is broadly bullish, bearish, or rotational. This is your directional filter for everything that follows.

2

Mark the Dealing Range

Note whether current price is in premium or discount. Draw the 50% EQ midpoint.

3

Map Liquidity Pools

Mark obvious swing highs and lows, equal highs and lows, session extremes, and any nearby external swing points where stops are resting.

4

Mark Supply and Demand Zones

Only zones that caused actual displacement or a meaningful structural reaction. Not every consolidation counts.

5

Identify Unfilled Imbalances

Mark HTF and prior session FVGs that are likely to act as draws or entry zones during the upcoming session.

6

Mark the Asian Range

Note which side remains untouched heading into London. Asian high = potential BSL. Asian low = potential SSL.

7

Session Narrative

What does this session need to accomplish? What is the most likely sequence of events? Write it in one sentence before the kill zone opens.

8

Define the Session Range Window

London ODR (03:00–04:00) or NY RDR (09:30–10:30)? Know which session you are trading before the window opens.

9

Wait for Displacement

Do not force a trade while price rotates inside the range. Displacement outside the range is the first evidence of intent.

Execute the Pullback

Execute only after the pullback into a valid level is defended with lower timeframe confirmation. This is the entire model applied.

CHAPTERS 23 + 24

Long and Short Trade Templates

Long Trade Template — Full Checklist

1. Higher timeframe context is bullish or has shifted bullish after taking sell-side liquidity
2. Price is in discount or has just rejected a demand zone in discount territory
3. The relevant session range (ODR or RDR) forms cleanly within its designated window
4. A bullish breakout occurs above the DR high with displacement — preferably leaving a FVG
5. Price retraces into the DR high, midpoint, demand zone, or breakout FVG
6. Lower timeframe reacts bullishly from that location — MSS, wick rejection, or FVG defense
7. Stop is placed below the logical invalidation level — not at an arbitrary distance
8. Target 1 is the nearest credible buy-side liquidity draw. Target 2 is the next external level if structure holds.

Short Trade Template — Full Checklist

1. Higher timeframe context is bearish or has shifted bearish after taking buy-side liquidity
2. Price is in premium or has just rejected a supply zone in premium territory
3. The relevant session range (ODR or RDR) forms cleanly within its designated window
4. A bearish breakout occurs below the DR low with displacement — preferably leaving a FVG
5. Price retraces into the DR low, midpoint, supply zone, or breakout FVG
6. Lower timeframe reacts bearishly from that location — MSS, wick rejection, or FVG defense
7. Stop is placed above the logical invalidation level — not at an arbitrary distance
8. Target 1 is the nearest credible sell-side liquidity draw. Target 2 is the next external level if structure holds.

CHAPTER 25

Confluence Hierarchy

When several signals appear at once, not all of them deserve equal weight. A useful hierarchy for this model is: higher timeframe structure first, then premium-discount location, then liquidity event, then displacement, then fair value gap, then session timing, then lower timeframe trigger. This hierarchy prevents the common error of overvaluing a pretty pattern that forms in poor context.

1	Higher Timeframe Structure	Foundation. Wrong here means every other signal is built on sand. Always assess first.
2	Premium / Discount Location	Buying discount in bullish context. Selling premium in bearish context. Location filters directional bias into price territory.
3	Liquidity Event	Was a meaningful BSL or SSL pool swept before this setup? The sweep is often the catalyst that powers the move.
4	Displacement	Did price show urgency and intent? No displacement = no evidence the market has chosen direction.
5	Fair Value Gap	Is there a clean imbalance to enter into? Formed during displacement, in sensible territory, not previously filled?
6	Session Timing	Is this happening inside an active kill zone? Outside the window = lower institutional participation.
7	LTF Trigger	Is the level being actively defended? This is the final confirmation — not the reason to be in the trade.

For example: a fair value gap inside premium during London after buy-side liquidity has just been swept and bearish displacement has broken structure is meaningful. The same fair value gap in the middle of nowhere, during random hours, with no prior liquidity event is just a gap. The confluence hierarchy separates the two.

FULL STACK EXAMPLE

HTF is bullish. Price in discount. London swept the Asian low (SSL). Displacement broke the ODR high leaving a FVG. FVG sits at the ODR high in discount. It is 09:45 NY — inside the NYKZ. The 1m chart shows a bullish MSS off the FVG. That is 7/7 confluence — the benchmark every trade should be measured against.

CHAPTER 26

Risk Management

No setup quality can protect a trader from poor risk management. Every trade should be sized so that a loss is acceptable and survivable.

Stops should be placed where the trade idea is invalid, not where the loss amount looks comfortable. If the correct invalidation makes the stop too wide, the position size should be reduced. Never move the stop simply to preserve ego.

A practical approach is to risk a fixed percentage or fixed dollar amount per trade, take partial profits at the first logical objective if your psychology benefits from it, and avoid stacking multiple correlated trades that are effectively the same idea. Consistency in risk is what allows edge to express itself over a series of trades.

- **Fixed risk per trade:** A percentage of account or a fixed dollar amount. The same every trade — wins cannot justify oversizing, losses cannot justify undersizing.
- **Stops at invalidation:** Stops should be placed where the trade idea is invalid. If that makes the stop too wide, reduce position size. Never widen the stop.
- **Never move the stop to preserve ego:** The stop exists to protect capital when the thesis is wrong — not to be moved when you feel uncomfortable.
- **Partial profits at T1:** If your psychology benefits from locking in gains, take partials at the first objective and manage the remainder.
- **No correlated stacking:** Avoid stacking multiple correlated trades that are effectively the same directional idea expressed in different instruments. That multiplies risk without multiplying edge.

CHAPTER 27

Common Mistakes

Every mistake below is a deviation from the model. Reviewing this list regularly — especially after losses — helps identify whether the loss came from the strategy or from a breakdown in execution.

- Trading every breakout instead of waiting for displacement and pullback confirmation
- Ignoring higher timeframe bias and taking setups directly into opposing context
- Buying premium and selling discount — correct direction, wrong location
- Treating every equal high or low as equally important without judging visibility and relevance
- Confusing weak, grinding movement with displacement
- Entering fair value gaps inside consolidation where no true intent has been shown
- Forcing trades outside session windows or after the main move has already fully delivered
- Holding losing trades after the original narrative has clearly broken
- Moving stops emotionally rather than according to the logical invalidation level
- Reviewing wins and losses only by profit and loss — instead of by process quality and model adherence

CHAPTER 28

Journaling Standard

A useful journal for this strategy should track more than entry and exit. Each trade should record the higher timeframe bias, the dealing range used for premium-discount, the liquidity event observed, the session window, the Defined Range levels, the exact entry location, the lower timeframe confirmation, the target logic, the invalidation logic, and a short review of whether the trade followed the model.

Over time, this reveals whether losses come from the strategy itself or from deviations in execution. That distinction is the most valuable feedback a trader can receive. A losing trade executed correctly according to the model is not a problem. A winning trade taken outside the model is a problem — it reinforces bad habits.

Grade every trade on process quality: A (followed model exactly), B (minor deviation), or C (major deviation). Over a large sample, process grade and profitability converge. The process is the product.

VI

PART SIX

Trading Psychology

Technical mastery is necessary but not sufficient. Psychology determines whether your edge expresses itself or gets destroyed by your own behavior.

The Mental Edge

Most intermediate traders already understand enough to be consistently profitable. The technical knowledge is there. The gap between where they are and where they want to be is almost entirely psychological.

Consider a trader with a 45% win rate and a 2.2:1 reward-to-risk ratio. That is a mathematically profitable edge over a large sample. But if that trader doubles size after two wins, halves size after two losses, moves stops when uncomfortable, and exits early when anxious — the edge becomes irrelevant. The behavior pattern destroys it.

This is the central psychological problem in trading: the edge exists in the strategy, but it can only be accessed through behavior. And behavior is governed by mental state, identity, beliefs about loss, and the relationship with uncertainty. Improving technical skill without improving the mental operating system is working on the wrong variable.

THE CORE INSIGHT

The strategy provides the edge. The trader either expresses that edge or destroys it through behavior. Technical improvement past a certain level yields diminishing returns. Psychological improvement at any level yields immediate, compounding returns.

The Four Psychological States

Before every session and before every trade, it is useful to identify which of four psychological states you are currently in. Only one of these states gives full access to your edge.

■ Process State Following the model exactly. Win or lose, the process is correct. This is the ONLY state that gives full access to your edge. The goal every session.	■ Revenge State Triggered by a loss — increasing size or taking unplanned trades to recover. Compounds the original loss. Only valid action: step away from the screen completely.
■ Foggy State Uncertain about the setup but entering anyway. No clear narrative, no clear invalidation, no clear reason. Correct action: do not enter.	■ Flow State Context stacks effortlessly. Entries feel obvious. Product of consistent preparation and process. Protect it by continuing to follow the routine — do not force extra trades.

STATE CHECK BEFORE EVERY ENTRY

Before entering any trade, ask: "Which state am I in right now?" If the honest answer is Process State — proceed. If the honest answer is anything else — the trade does not get taken. This single habit, applied consistently, eliminates more losses than any technical refinement ever could.

CHAPTER 31

Common Emotional Triggers

Every trader has specific emotional triggers that reliably pull them out of Process State. Identifying yours is not optional — it is essential infrastructure for consistent execution.

- **The first loss of the session.** Triggers revenge or frustration. The trade that follows the first loss is statistically your most dangerous trade of the day. Identify this pattern and build a pause rule around it.
- **Consecutive wins.** Paradoxically dangerous. Confidence becomes overconfidence. Position size creeps up. The model gets abandoned. "I'm in the zone" becomes an excuse for taking B and C grade setups.
- **Missing a clear setup.** The FOMO trade is one of the most common and costly mistakes. A missed trade is not a loss — chasing it usually is.
- **A large winner followed by a loss.** The account was ahead and now it is not. The psychological framing of "giving back profits" is particularly destructive because it triggers loss-aversion behavior.
- **News or external events.** Economic data, earnings, geopolitical news. These create conditions where the model may not apply. Having a pre-planned response to high-impact news is part of the professional routine.

CHAPTER 32

The Professional Routine

Consistency in trading is a product of consistency in preparation. The professional routine creates the conditions under which Process State is most accessible.

- **Before the session:** Complete the full top-down analysis workflow. Write the session narrative in one sentence. Define the exact levels to watch. Set price alerts. Know in advance what a setup looks like and what it does not look like.
- **During the session:** Observe without forcing. Follow the kill zone timeline. If the setup appears and matches the model — execute. If it does not appear — do not trade.
- **After the session:** Journal every trade taken and every trade missed. Grade each on process quality. Identify what triggered any deviations from the model. Review whether the session

narrative was correct or incorrect — and why.

- **Weekly review:** Aggregate the week's process grades. Identify any recurring mistakes. Look for patterns in what triggers deviations. Use this data to refine the pre-session checklist.

THE PURPOSE OF THE ROUTINE

The routine does not guarantee profits on any given day. It guarantees that over a large enough sample of trades, the model's edge will express itself fully. Without the routine, edge expression is random. With the routine, it becomes systematic.

CHAPTER 33

The Identity Shift

The single most important psychological shift for any intermediate trader is this: stop identifying as "a trader who needs to win today" and start identifying as "a trader who executes a correct process consistently over hundreds of trades."

When identity is attached to process rather than outcome, individual losses lose their emotional charge. You can review them clearly, extract the learning, and move on without revenge. The response becomes curiosity and adjustment — not despair, not outsized confidence from a win streak.

This shift also changes how you think about edge. A trader attached to daily outcomes thinks: "Did I make money today?" A trader attached to process thinks: "Did I execute the model correctly today?" The second question is the only one with a reliable answer — and the only one that leads to consistent improvement.

“ Consistency is the product of boring, disciplined repetition of the same correct process — applied even when you are losing, especially when you are winning, and without exception when the market makes it feel unnecessary. The rules exist precisely for those moments.

Daily Pre-Trade Checklist

Run through every item below before entering any trade. Each item is a filter. Skipping one is removing a filter from the model.

■ Higher Timeframe Analysis

- What is the higher timeframe bias? Bullish, bearish, or rotational?
- Is current price in premium or discount relative to the HTF dealing range?
- Where is the nearest meaningful buy-side liquidity (BSL)?
- Where is the nearest meaningful sell-side liquidity (SSL)?
- Are there unfilled HTF or prior session fair value gaps acting as draws or magnets?

■ Session Setup

- What did the Asian range do and which side remains vulnerable?
- Which session am I trading today: London ODR (03:00–04:00) or New York RDR (09:30–10:30)?
- Has price already taken the daily liquidity draw, or is it still open and drawing?
- What is my session narrative in one sentence — written before the kill zone opens?
- What would invalidate my session narrative before a trade is triggered?

■ Trade Entry

- Has price taken liquidity before the setup, or am I trying to trade before the real event?
- Did the breakout occur with true displacement — urgency, large range, FVG left behind?
- Where is the best pullback location: DR boundary, FVG, or DR midpoint?
- What confirms the entry on the lower timeframe?
- Where exactly is my stop — at the logical invalidation, not a comfortable distance?
- What is Target 1? What is Target 2?
- Does this trade fully match the model, or am I forcing it?
- What is my current psychological state — am I in Process State?

Trade Journal Template

Complete this template for every trade — wins, losses, and scratches. The journal is your only honest source of feedback about whether you are improving.

Date / Session	e.g. Monday — London ODR
Instrument	e.g. NQ1! / ES1! / EUR/USD
HTF Bias	Bullish ☐ Bearish ☐ Neutral ☐ Why: _____
Dealing Range	Premium ☐ Discount ☐ At EQ ☐
Liquidity Event	Which pool was swept and when?
Session Narrative	One sentence — written before the session opened:
DR Levels	High: _____ EQ Midpoint: _____ Low: _____
Breakout Quality	Strong ☐ Weak ☐ No displacement ☐
Entry Type	DR Boundary ☐ FVG ☐ EQ/Midpoint ☐ S/D Zone ☐
LTF Confirmation	Bullish/Bearish MSS ☐ Wick rejection ☐ Displacement from zone ☐
Entry Price	
Stop Loss Price	Invalidation reason:
Target 1	Price: _____ Liquidity draw:
Target 2	Price: _____ Liquidity draw:
Result	Win ☐ Loss ☐ Scratch ☐ R achieved: _____
Process Grade	A — Perfect execution ☐ B — Minor deviation ☐ C — Major deviation ☐
Psychological State	Process ☐ Foggy ☐ Revenge ☐ Flow ☐
Review Notes	Did this trade fully follow the model? What would you do differently?

Glossary of Key Terms

DR — Defined Range

The initial balance phase formed during a designated session window. The high, EQ midpoint, and low are the three reference levels for all subsequent analysis.

IDR — Implied Defined Range

The internal pricing logic of the DR — the boundary, FVG, and midpoint used to frame pullback entries after a breakout.

ODR — Opening Defined Range

The London DR, built from 03:00 to 04:00 New York time. First focused range of the London session.

RDR — Redefining Range

The New York DR, built from 09:30 to 10:30 New York time — anchored to the cash equity open.

FVG — Fair Value Gap

A three-candle imbalance where C1 high and C3 low do not overlap. Indicates urgent, one-sided price delivery. Often revisited before continuation.

MSS — Market Structure Shift

The moment the controlling directional force changes hands — marked by displacement through an internal pivot level.

BSL — Buy-Side Liquidity

Resting stops of short sellers — located above swing highs, equal highs, session highs, and range highs.

SSL — Sell-Side Liquidity

Resting stops of long traders — located below swing lows, equal lows, session lows, and range lows.

Displacement

A strong, urgent, large-range move that leaves an imbalance behind and reveals that one side was willing to pay away from fair value.

Premium

The upper half of a dealing range, above the 50% equilibrium midpoint. Ideal zone for short entries in a bearish context.

Discount

The lower half of a dealing range, below the 50% equilibrium midpoint. Ideal zone for long entries in a bullish context.

Equilibrium (EQ)

The 50% midpoint of a dealing range. Neutral price level. Also used as the third pullback reference level (DR midpoint).

Kill Zone

A time window with elevated institutional participation and purposeful price delivery: London KZ (02:00–05:00), NY KZ (07:00–10:00), London Close (11:00–13:00). All times NY local.

Asian Range

The overnight high and low forming before London opens. Extremes contain stop clusters that London and New York often target.

Draw on Price

The next logical destination price is being pulled toward — a liquidity pool, an unfilled imbalance, or a prior structural level.

Liquidity Sweep

A move that triggers stops at an obvious level, serving two purposes: triggering existing stops and inviting breakout traders in the wrong direction.

Dealing Range

The specific swing high and swing low used to define premium and discount for the current session analysis.

Supply Zone

The origin area from which price declined with displacement and force — an aggressive shift in sell-side order flow.

Demand Zone

The origin area from which price rallied with displacement and force — an aggressive shift in buy-side order flow.

Process State

The optimal psychological state for trading: calm, rule-following, non-attached to individual outcomes. The only state that gives full access to edge.

Confluence Hierarchy

The seven-level ranking system for weighting signals: HTF structure → P&D; location → liquidity event → displacement → FVG → session timing → LTF trigger.

Session Narrative

The pre-session story of what the market is likely to do and why — written before the kill zone opens, based on the top-down analysis workflow.

The Strategy in One Sentence

“ Wait for the market to reveal intent through structure, liquidity, displacement, and time; then use the Defined Range and its internal logic to enter the pullback at a location that makes sense, with invalidation beneath the idea and targets at the next logical draw on price.

No discretionary trading manual can promise certainty. What it can do is remove vagueness. This manual aims at precision of process, clarity of logic, and consistency of application. If you follow the framework in order, you will stop seeing the chart as random candles and begin seeing it as a sequence: structure, location, liquidity, imbalance, time, entry, and target. That sequence is the strategy.

ZM 3.0 — DR/IDR Framework

Educational material only. Not financial advice.